

BPSC



Lecture No.-

02

Topic- Introduction to Economy
Part 2

By- Deepak Shukla Sir



Topics to be Covered



Topic

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Introduction to Economy Part 2

Economics

Oikos
↳ (Households)

Nomos

(management or Law, or system,
or Rule)

Economics is basically Management of households.

Evolution of Economic Thought : —



Classical
Era

↓
Adam Smith
(1776)

Focus → How a nation's
wealth is created.

Neo
Classical
Era

↓ 1890
Alfred Marshall
(Welfare
Define)

↓
Wealth is merely
a tool for human
welfare

New
Age
Economy

↓ (1932)
Lionel Robbins
(Scarcity Define)

↓
Explained the relation
between endless
desires and limited
resources.

Modern
Age
Economy (1948)
↓
Paul Samuelson
(Growth
Define)

Dynamic
Distribution
of resources
and priorities
growth.

Central Problems of An Economy:—



What to produce

↓
Deciding to allocate
resources for Production
between Goods & Services

Necessary vs Luxury.

How
to produce

Deciding the
Techniques for
Producing Goods.

Such as Labour
Intensive or Capital
Intensive.

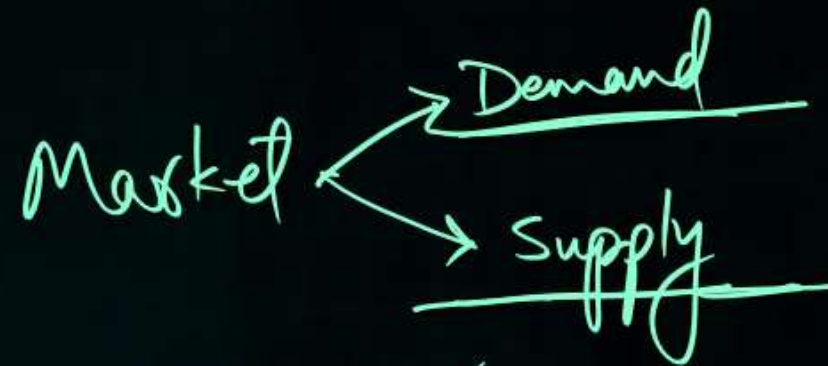
for
whom to
produce

Deciding the
target consumer.

Market : →

↳ A place or platform where buyers and sellers interact and to facilitate the exchange of goods and services. Ex. Patna market,

Types of Economy : —

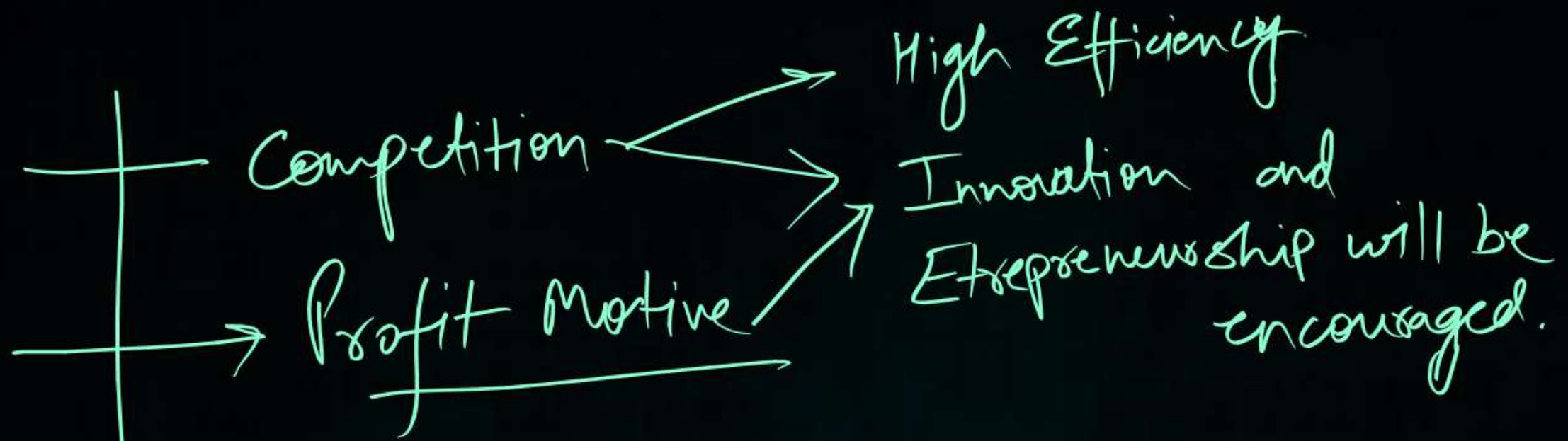


There are mainly 3 Types of Economies.

(1) Capitalist or Market Economy : —

↳ A market Economy is an economic system where two forces known as supply and demand direct the production of goods and services

→ Private Property Rights
→ Free market system



→ Laissez faire (No or Minimal interference of Government)

Ex. → United States of America, Hongkong, Singapore, etc.

$\frac{\text{Cost}}{180\text{₹}}$

 $\rightarrow$
 $\frac{\text{Price}}{150\text{₹}}$



Thank
You